ARCHER AVIATION INC ACHR S

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by specialk992

			2026	2027
Price:	5.06	EPS	0	0
Shares Out. (in M):	932	P/E	0	0
Market Cap (in $M):	4,716	P/FCF	0	0
Net Debt (in $M):	-1,437	EBIT	0	0
TEV (in $M):	3,279	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

Executive Summary: I believe Archer Aviation Inc. (ticker: ACHR) belongs in a "frauds, fads and failures" short book, or for those who do pair trades or believe in the eVTOL space could be offset against being long some combination of JOBY and/or BETA. In short, Archer has significantly missed a large proportion of its financial, operational and developmental milestones since going public in the SPAC boom of 2020-2021. Despite this Archer retains a liquid public stock trading over $100M per day and a (pro forma for upcoming share issuance to Boeing) market cap of around $5B so there is plenty of meat left on the bone despite a near $5 stock price. I believe that ACHR is hopelessly behind its key eVTOL competition and will continue to dilute shareholders to support its enormous cash burn. ACHR was a $2 stock trading near cash value in late 2022 and 2023 and I believe it could return there again. In a less forgiving market ACHR could perhaps be an eventual zero as it is unclear when or if its key eVTOL aircraft or announced hybrid autonomous defense aircraft will be commercially available.

Company Overview: Archer Aviation is a California-based aerospace company trying to build and FAA certify an electric air taxi. Its eVTOL (electric vertical takeoff and landing) aircraft Midnight is designed to lift off straight up like a helicopter using electric motors and propellers, then tilt some of its propellers forward so the wing carries the aircraft in cruise like a conventional airplane. The idea behind eVTOL aircraft is that vertical liftoff would allow operation from rooftops and small pads without a runway, while wing-borne cruise would make it far more efficient and quieter than a helicopter with none of the emissions from burning aviation fuel. The promise of eVTOL is that a 60-to-90-minute drive will be replaced by a 10-to-20-minute flight, initially connecting airports to city centers and eventually expanding to all sorts of urban transportation in congested areas.

Of course, all of this is dependent on getting the aircraft certified for passenger use by the FAA, and eventually other global aircraft regulatory authorities like EASA in Europe. While the Trump Administration has made a lot of announcements about accelerating the process, it is unclear when certification will actually happen. Certifying an eVTOL represents a novel challenge for the FAA which has never type-certified an electric aircraft nor an aircraft that transitions from hover to forward flight (aka a "transition" flight). Transition flight represents a significant aerospace engineering challenge, and while it has been solved in the form of military VTOL aircraft like the Osprey, the closest civilian aircraft to the Osprey (the Leonardo AW609) has been attempting to get certified on and off for something like **30 years** now. You can read a summary of the whole sorry history here: https://en.wikipedia.org/wiki/Leonardo_AW609. While I believe some sort of eVTOL will be eventually certified, the timeline is uncertain and success is not guaranteed.

More recently Archer has also pushed into defense and autonomy programs alongside the (floundering) air taxi effort. ACHR announced a partnership with Anduril in December 2024 and showed a mockup of an uncrewed autonomous military aircraft called Thunder in July 2026. In August 2026 Archer announced it would acquire three businesses from Boeing: Wisk Aero (Boeing's autonomous eVTOL program, pre-revenue), SkyGrid (basically an early-stage airspace management software company that I believe has minimal revenue) and Insitu (a legacy observational drone company with a reported $200M of revenue). In consideration along with some warrants Archer will issue Boeing 19.75% of the shares of Class A stock outstanding immediately prior to closing, so when this transaction closes the basic share count should swell to approximately 932M shares with fully diluted shares closer to 1B. While Boeing's shares are locked up for 12 months, the agreement allows Boeing to engage in hedging transactions or pledge them as collateral. Obviously this transaction will also increase Archer's operational and financial complexity, which could be a challenge for a company which has lacked a permanent CFO since the previous CFO left in 2024.

Company History: ACHR was formed by Brett Adcock and Adam Goldstein in 2018 after the two University of Florida business grads had a moderately successful exit, selling an online recruiting business they founded to staffing firm Adecco for a reported $110M. Goldstein and Adcock seeded some of the research at the University of Florida for the aerospace engineering idea that later became Archer's eVTOL aircraft Midnight. As was the fashion at the time, the company went public a mere three years after founding despite having no commercial product through a Ken Moelis-sponsored SPAC in a deal that closed in September 2021.

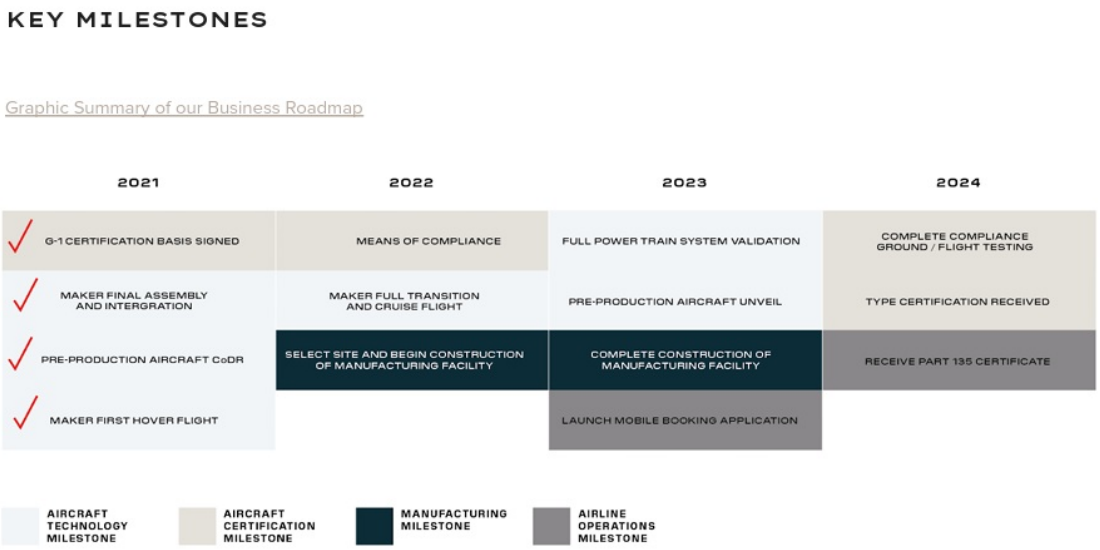
I think it is instructive to compare Archer's background to its two closest competitors, Joby and Beta. Joby founder JoeBen Bevirt earned an M.S. in Mechanical Engineering from Stanford before building a robotic laboratory system company called Velocity11 that sold to Agilent in 2007. The first iteration of Joby developed the Gorillapod flexible camera tripod and Bevirt also started Joby Energy to develop airborne wind turbines. Bevirt then founded Joby Aviation in 2009 and the company has been plugging away since then. Beta was formed more recently (cited as 2017 or 2018 depending on the source) by Kyle Clark. Clark holds a materials science A.B. from Harvard and previously was an engineer at Dynapower, an energy storage and power conversion system company. He has also racked up over 4,000 hours piloting fixed wing and rotor aircraft, earned his flight instructor certification and actually serves as one of Beta's test pilots. While I don't mean to be credentialist (I am a state school business grad myself) I think the leaders of ACHR's competitors possess much more serious engineering and aviation chops in a business where such skills are paramount.

Interesting sidenote: Archer co-founder Brett Adcock left the company in 2022 and many believe he sold his Archer shares. Despite having virtually no background in hard engineering he now runs Figure AI, an humanoid robotics startup valued in the tens of billions of dollars. Figure AI appears to have used

the Archer playbook of raising a ton of money on largely a vision and promise to recruit the engineers for and build the thing being promised. You can look up some skeptical reporting on Figure in the WSJ and Fortune. If interested you can also read a recent Twitter article on Adcock's modus operandi: https://x.com/Morrow_Strand/status/2102176602411221434

Archer flew its Maker prototype in its first hover flight in December 2021 with its first Maker hover to forward flight transition around a year later in November 2022. ACHR's first non-conforming Midnight prototype (un-piloted and without onboard flight controls) first flew in October 2023 with its first transition flight in June 2024. ACHR's first piloted Midnight aircraft flew in late May 2025 and while the two active piloted Midnight aircraft have demonstrated CTOL (conventional takeoff and landing, i.e. taxiing on a runway) and hover flights, the company has not announced any piloted transition flights with a Midnight Aircraft to date. **As I will elaborate later, I view this as a huge problem that puts them well behind their competitors and likely gates when certification can be achieved.**

Other Short Writeups: It will not come as news to anyone that a 2021 era SPAC has wildly missed the financial projections in its de-SPAC filings so I won't belabor that point, except to say that as late as November 2022 (in the Q3 2022 shareholder letter, roughly 20-21 months after the SPAC transaction announcement) Archer was still posting a milestone slide which called for the completion of its manufacturing facility in 2023 and FAA certification in 2024:



Archer wisely stopped including the milestone slide or making any specific projections about when these milestones would be achieved in subsequent letters, but of course everything has slipped to the right. I could write a lot about the shady promotional stuff Archer has done over the years including aircraft sale deals with counterparties that couldn't pay, announced flight demonstrations that never subsequently occurred, defense contracts PRed but never fulfilled or billed to the military, a "Launch Edition" program to get passenger flights going in other countries before FAA certification that was hyped but ignored in recent conference calls, etc. But these things have been covered in other short reports that you can read on your own if interested:

1. Grizzly in 2023
2. Bear Cave in 2024
3. Culper in 2025
4. Grizzly again in 2025
5. Hunterbrook in 2025

Current Setup: All of this begs the question, with so much written on Archer, why is it interesting as a short now? I think there are several reasons why ACHR is now timely:

1. They will probably raise money soon. As of Q2 Archer had $1,560M of cash and is burning something like $800M per year with no significant revenue much less profits on the horizon, outside of the $200M annual revenue of Insitu which they are in the process of acquiring. They last raised about $650M in November of 2025 when they had around the same amount of cash on the balance sheet. While they might not like the idea of raising at a stock price below their last three offerings, it also may be a challenge to do an institutional deal given the fact that the three offerings they did in 2025 are underwater and their largest active investor ARK has been net selling shares since March 2026 with some adds recently. The fact that eVTOL is yesterday's hyped technology and now everyone is focused on a capital-hungry AI sector won't help. The Boeing agreement included the provision that Archer can require Boeing to buy up to $55M in an offering of stock that is expected to result in gross proceeds to the company of at least $400M, occurring between October 8, 2026 and closing, so an offering is already being contemplated. So I am not sure if Archer will raise capital in an underwritten stock offering with a discount soon, or a resumption of doing ATMs, but I don't think either will be helpful to their stock price. Incidentally, Archer has also paid some vendors in stock during 2026, not the mark of a high quality company.

2. Not having done a piloted transition flight is a huge red flag. Archer did not actually finish building a Midnight prototype with pilot controls until early 2025, and did not actually fly it with a pilot until around late May of 2025. This aircraft, tail number N703AX, has largely been tested CTOL (conventional takeoff and landing, on a runway) and as you can see from the picture in their Q2 2026 shareholder letter has two blades on its aft propellers which are not turning in forward flight:



As of this writing Archer has only registered two piloted aircraft with the FAA, the aforementioned N703AX and N704AX, the second Midnight aircraft with onboard human pilot controls. As you can see in the picture of 704, this version of the aircraft actually has four blades on its aft propellers:



If you want to diligence this yourself, you can go to FlightAware.com and punch in the tail numbers. If you do this you can see that N703AX is making multiple decent-length flights per week, but I believe these are all CTOL flights where the aircraft takes off and lands like a conventional plane, not demonstrating the promise of eVTOL. If you look a the flight history of N704AX you can see that it appears to be doing only very short hover flights, and not very many of them:

ACTIVITY LOG — Want a full history search for N704AX dating back to 1998? Buy now. Get it within one hour.

Date	Aircraft	Origin	Destination	Departure	Arrival	Duration
08-Sep-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	12:14PM PDT	12:15PM PDT	0:01
12-Aug-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	11:28AM PDT	11:30AM PDT	0:02
12-Aug-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	09:44AM PDT	09:45AM PDT	0:00
10-Aug-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	11:00AM PDT	11:01AM PDT	0:00
10-Aug-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	10:57AM PDT	10:58AM PDT	0:01
07-Aug-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	09:06AM PDT	09:07AM PDT	0:01
05-Aug-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	11:07AM PDT	11:10AM PDT	0:03
05-Aug-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	09:30AM PDT	09:31AM PDT	0:00
05-Aug-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	07:25AM PDT	07:28AM PDT	0:03
15-Jul-2026	Unknown	Salinas Muni (KSNS)	Salinas Muni (KSNS)	08:24AM PDT	08:24AM PDT	0:00

Doing a transition flight is key to the entire eVTOL concept, and it seems more than passing strange that over 16 months after its first piloted Midnight aircraft was completed, the company has not been confident enough to do a piloted transition flight, and it appears that the aircraft that is doing most of the flying is not even the same configuration as the aircraft that will undergo a transition flight. On its last earnings call Archer talked about just about everything except its core eVTOL flight test program, but near the end an analyst asked when they would attempt a piloted transition flight. Adam Goldstein answered “we're on track to full transition later this year.”

While that may happen, it should be noted that Archer is well behind its chief rivals on this front. Beta first did a piloted transition flight in April 2024, although this was not a conforming prototype. Joby did a piloted transition flight with a full-scale production aircraft in April 2025, 17 months ago, and has flown multiple demonstrations with piloted aircraft all over the world. In fact you can see the difference in the scale of each company’s flight test programs using the FAA database I linked to above and putting the tail numbers into FlightAware. Joby and Beta have numerous more aircraft doing many more flights, while Archer is only flying two aircraft, one of which only flies for very short hover flights and the other seemingly incapable of true eVTOL. Which brings me to the next point:

3. Archer seems hopelessly behind its chief rivals in the race for FAA certification. To get to FAA certification, an aircraft manufacturer has to settle on a final configuration and test it extensively before handing it over to FAA pilots for the FAA’s own testing. Given it will not even let its own pilots do a transition flight, it seems like it will be a long time before Archer can start the critical extensive internal testing phase before handing the aircraft to the FAA. In fact despite having done a transition flight in a full scale aircraft in April 2025 and doing numerous transition flights across multiple aircraft since then, Joby has not even allowed an FAA pilot to test its aircraft “for credit” so far. Beta will first attempt to have its simpler CTOL electric aircraft certified, which is expected to happen before the end of 2027, so I believe Beta will be the first electric aircraft to be FAA certified with Beta’s eVTOL aircraft certified at a later date. But it seems almost certain that Joby will have FAA pilots testing its aircraft soon and will be the first eVTOL across the FAA finish line.

If you assume that Joby gets FAA pilots in its aircraft to perform for-credit testing by December 2026, that will be 20 months after its first piloted transition flights in April 2025 (and it has had multiple more completed aircraft to test on). If you further assume that Archer does its first transition flights by November of 2026 (which might be the first time the company actually hits a significant milestone as promised on time by its CEO), and the company needs 20 months of testing after that before it turns an aircraft over to FAA pilots similar to Joby, it would be mid-2028 before it can turn its aircraft over to FAA pilots for testing. This will create another black eye for the company:

4. Archer seems highly likely to miss its public goal of flying passengers at the LA 2028 Olympics. In May of 2025 Archer made a big splash by announcing sponsorship of the LA 2028 Olympics that made it the “Official Air Taxi Provider”, with a big press junket and an appearance by CEO Adam Goldstein on the Jimmy Fallon show. Archer claims it will be “transporting VIPs, fans, and stakeholders, while electrifying vertiport take-off-and-landing hubs for key venues and providing support for emergency services and security” but I do not believe it will be allowed to fly a significant number of people in its eVTOL aircraft without FAA certification. While the company has been slippery about timelines in recent years as progress has been slower than expected, the LA Olympics are not going to change dates and based on the status of their flight test program and how long things have taken Joby I believe it is highly unlikely they will be able to hit this very public milestone. Perhaps they will obtain a waiver to conduct some limited operations and call that a success, but I seriously doubt Archer will be in a position to supply a significant amount of passenger transportation. Right now Archer’s market cap (~$5B accounting for Boeing dilution) is similar to Joby (~$6B) and Beta (~$5.3B) but I have a hard time imagining that will be the case if Archer is still floundering and can’t deliver on this public commitment while the other two have certified electric aircraft.

Conclusion: While it is always scary to short a promotional single digit stock price equity in a bubbly environment, in my opinion Archer stands out as a company which has failed to deliver on its promises but still has a multi-billion dollar market cap and an enormous cash burn that will likely necessitate significant further financing. I do not know whether the eVTOL space will prove to be viable, but if it does I believe Joby and Beta are far more likely to succeed. While I did not spend a great deal of this writeup on their defense efforts, my personal belief is these are largely promotional announcements to keep their stock price up in the face of continuing failures in their primary eVTOL program and much more nascent. eVTOL represents yesterday’s’ bubble and as speculative investors focus on AI and drones Archer may struggle to raise financing as the market sees either their competitors get their aircraft certified

by the FAA first or the entire eVTOL space continue to push out timelines and Archer misses its stated goal of flying passengers at the LA 2028 Olympics.

Risks:

- The company will likely execute a successful transition flight eventually, which could generate excitement even if achieved well after their competitors
- Archer likes to make promotional press releases, and in the past has announced partnerships with Palantir and Anduril, showed a mock-up of a new defense aircraft concept, announced an AI model, sponsored the Olympics etc. I'm sure they will do similar things in the future
- Despite their history, it is always possible that they start executing

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I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Likely upcoming equity offering
- Beta and/or Joby winning the race to FAA certification
- Failing to launch signficant operations by LA 2028 Olympics

Messages

No messages